

Ultra Sound Money: Ethereum's Post-Merge Supply Dynamics and

Data-forward view of ETH as a monetary asset

Current Supply

121,603,980 ETH

ETH Price

\$2,243

Base Gas (Avg)

0.1 Gwei

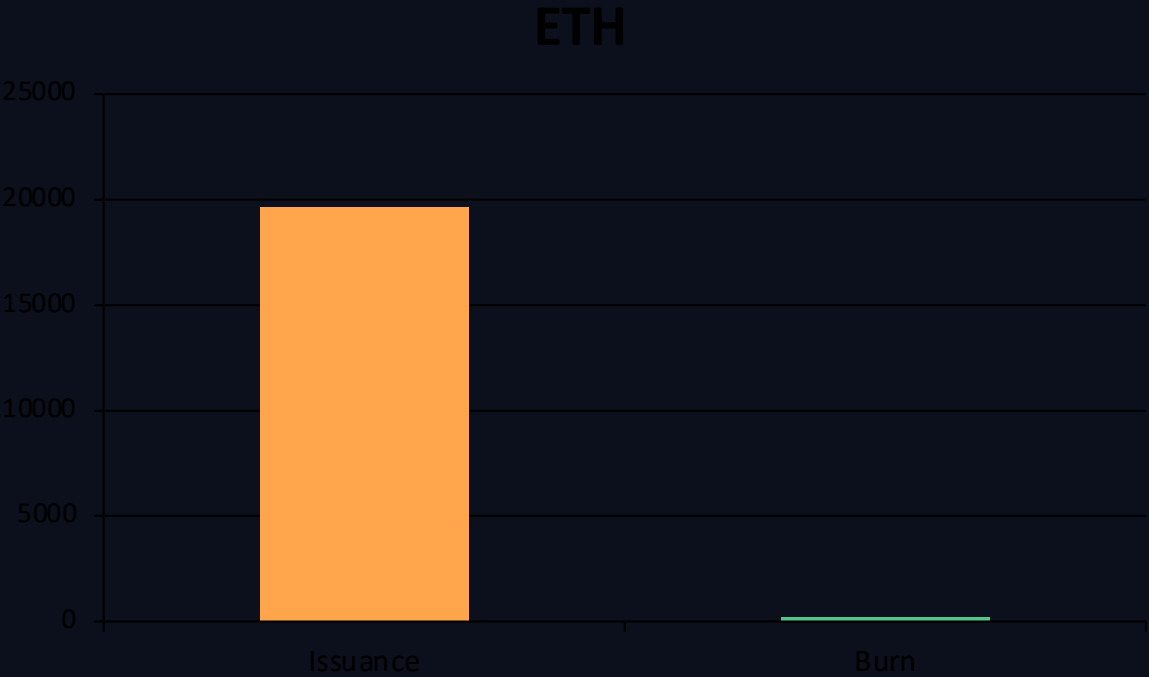
Post-merge issuance is structurally lower, but burn is cyclical with demand.

Current regime: historically low activity suppresses EIP-1559 burn.

Question for investors: temporary inflation or broken monetary premium?

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in

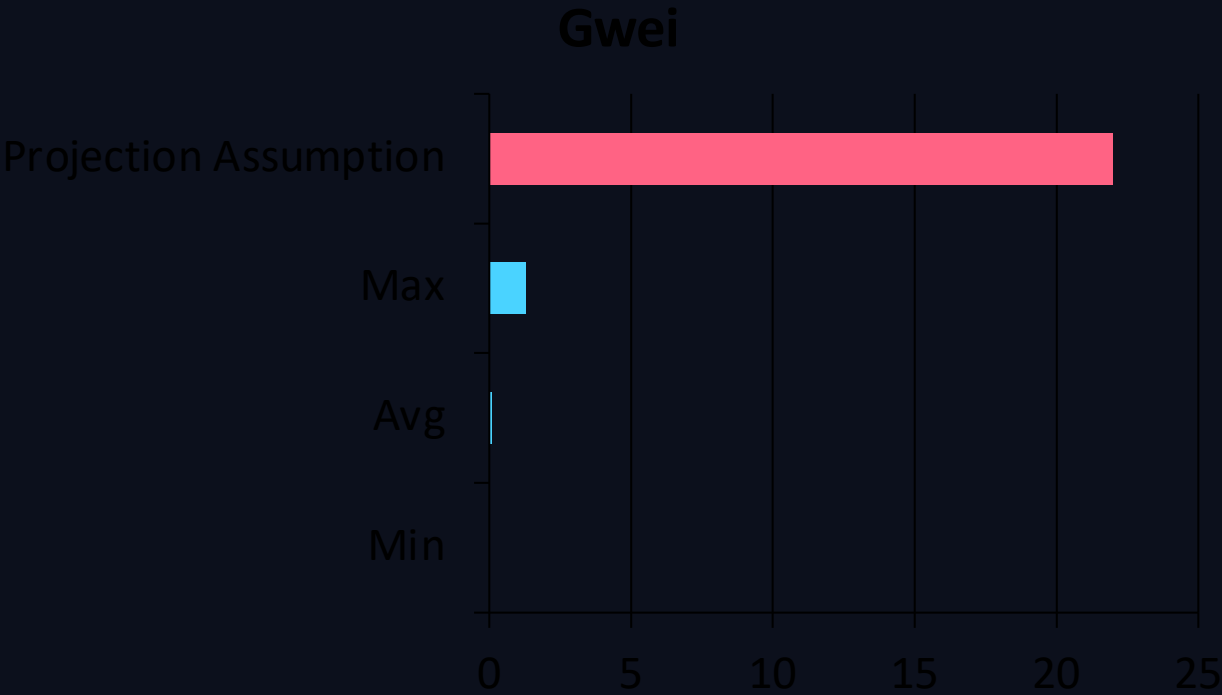
Net 7D Supply Change	Supply	Issued	Burned
+19,445.89 ETH	121,603,980 ETH	19,638.29 ETH	192.39 ETH



Offset ratio = burn / issuance = 0.01x
Burn offsets only ~1% of fresh issuance
Supply backdrop is mildly inflationary while gas remains depressed

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

Gas Min	Gas Avg	Gas Max	Blob Burn (7D)
0.0 Gwei	0.1 Gwei	1.3 Gwei	0.15 ETH



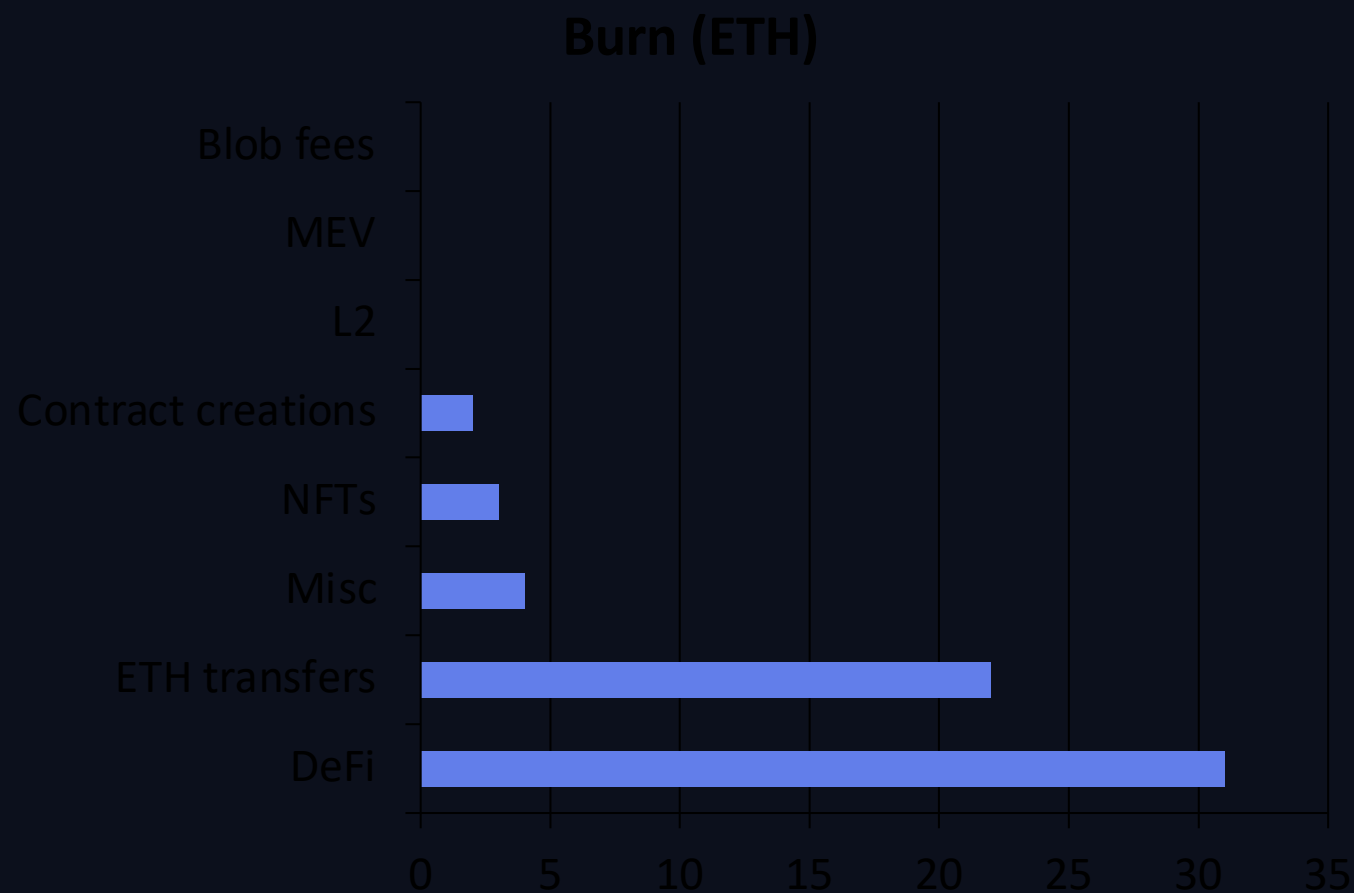
EIP-1559 burns base fee from every transaction.

Blob gas avg: 7,144,934 wei over 7D.

22 Gwei long-run assumption is far above today's demand regime.

Low gas -> low burn -> temporary supply inflation.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn



Category burn total: ~192 ETH (7D)
DeFi + ETH transfers: 53 ETH (~85% of shown category burn)

Top burn leaderboard (7D):
ETH transfers: 21.74 ETH
Tether USDT: 13.55 ETH

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips a

ETH Staked

38.9M ETH

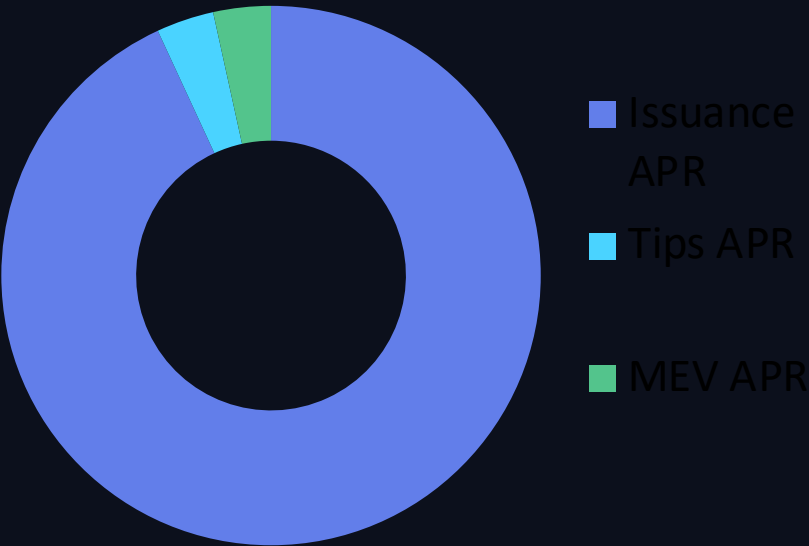
Share of Supply

~32%

Scarcity Engine Lock

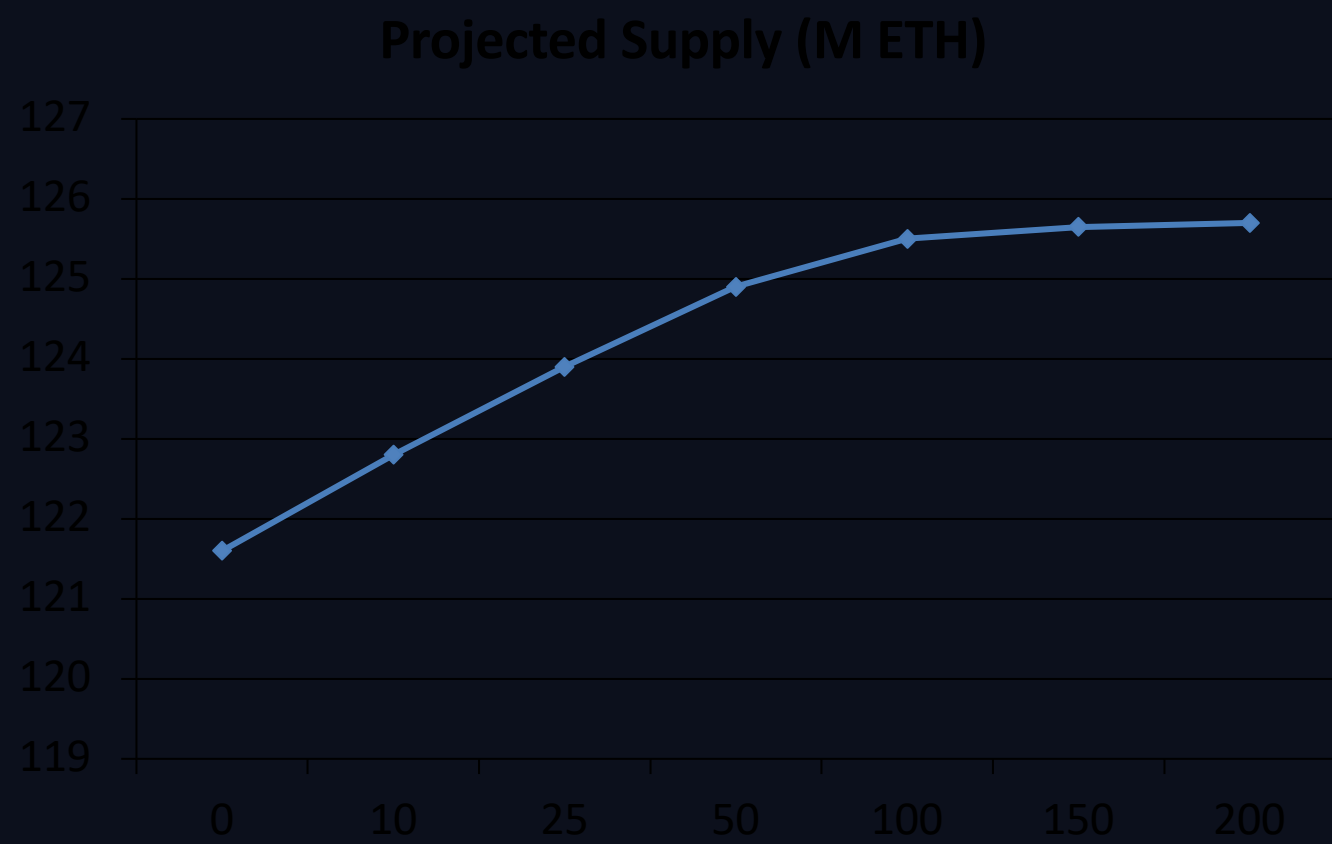
9.1M ETH | 10.7 years avg

APR %



Validator rewards are issuance-dominant.
Tips and MEV are currently negligible (~0.1% APR each).
Staking absorbs liquid float and supports monetary premium.

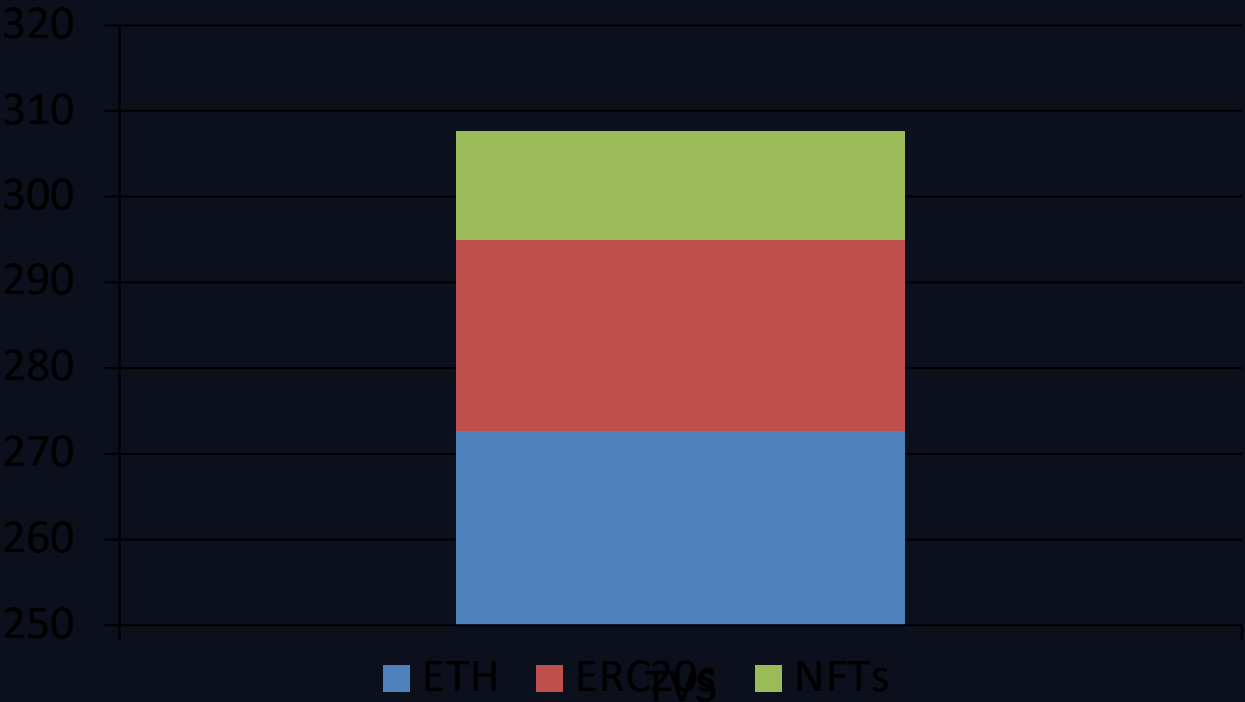
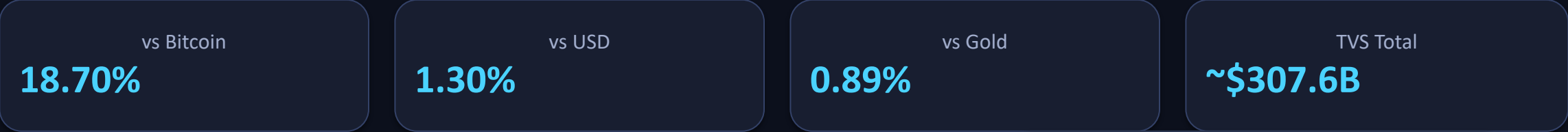
Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH



Model parameters:

- 39M ETH staked
- 22 Gwei average base gas
- PoS issuance: ~2.8K ETH/day
- Burn assumption: ~2.2K ETH/day
- Equilibrium: 125.7M ETH
- Issuance-burn balance: ~1,037K ETH/year

ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value



Top ERC20s by value:
Dai \$4.41B, SHIB \$3.51B
Top NFTs by value:
CryptoPunks \$2.13B

Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity

ETH is currently mildly inflationary (+0.83%/yr) due to 0.1 Gwei gas regime.

EIP-1559 burn mechanism functions, but needs sustained blockspace demand.

38.9M ETH staked (~32% of supply) creates durable supply lock and scarcity.

Long-term projection converges toward 125.7M ETH under normalized activity assumptions.

Monetary premium is rising: 18.7% of BTC market cap and ~\$307.6B secured value.

Investor framing

Ultra sound money remains a structural thesis; near-term path is activity-dependent.